Property Photo

Appraisal Report

Multi-Family Walkup Property Property

North Battleford Apartments

1101, 1121 109 St

North Battleford, Saskatchewan

PREPARED FOR:

Kenneth Engler

102109845 Saskatchewan Ltd.

1901, 1088 - 6th Ave SW

PREPARED BY:

Valta Property Valuations Ltd.

300, 4838 Richard Road SW

Office: 587-801-5151

www.valta.ca

Date of Valuation: 2025-10-17

Date of Report: 2025-11-20

File No: VAL251012 - 1

2025-11-20

102109845 Saskatchewan Ltd.
1901, 1088 - 6th Ave SW
Calgary, AB T2P 5N3

Attention: Kenneth Engler,

Re: As Stabilized (Fee Simple Estate) current market value for the property located at 1101, 1121 109 St, North Battleford, Saskatchewan.

Valta Property Valuations Ltd. is proud to present the appraisal report that satisfies the agreed upon scope of work with 102109845 Saskatchewan Ltd.. The purpose of this assignment is to provide the as stabilized current market value of the property which at the time of inspection represents the improved property as of the effective date and leased up at market rental rates and operating costs for the property located at 1101, 1121 109 St, North Battleford, Saskatchewan (herein referred to as the 'subject property').

The subject property, located at 1101, 1121 109 St, North Battleford, Saskatchewan, is a multi-family walkup property, Walkup property with improvements located in North Battleford. The improvements are comprised of 2 total buildings, and consist of 10204 square feet of net rentable area (NRA) as of the valuation date. The property, reportedly built in 1970; (1970 weighted) is approximately 100% occupied and features 16 units in a 2-story, Garden Style format.

Based upon our investigation of the real estate market and after considering all of the pertinent facts as set forth in the body of this appraisal report, as of the effective date, we have concluded the following:

Value Scenario	Interest Appraised	Effective Date	Concluded Value
As Stabilized	Fee Simple Estate	2025-10-17	**$1,780,000**

Hypothetical Conditions

The use of a hypothetical condition(s) may have impacted the results of the assignment. The As Stabilized value has been developed based on the hypothetical condition that the subject property is fully leased at prevailing market rents and has achieved stabilized occupancy as of the effective date of the appraisal. Under this premise, no deductions are made for holding costs, rent loss, or lease-up expenses. In addition it is a hypothetical condition that all units could achieve current market rent levels and stabilized occupancy as of the effective date. In reality, as of the effective date, the property's existing lease terms reflect contract rents that are deemed to be below-market rents. For the purposes of this analysis, it is assumed that lease-up to market rent levels has occurred under typical market conditions, without undue delay or concessions exceeding market norms. If this assumption proves incorrect, such as market rents are not achievable the value conclusion may be materially impacted.

Extraordinary Assumptions

No Extraordinary Assumptions were made for this assignment.

Extraordinary Limiting Conditions

No Extraordinary Limiting Conditions were made for this assignment.

The report has been completed in accordance with the Canadian Uniform Standards of Professional Appraisal Practice ("CUSPAP") adopted January 1, 2024. The full narrative appraisal report that follows sets forth the pertinent data and analyses leading to the conclusions presented herein. The appraisal requirements section of this report sets out the basis of the appraisal, definitions and the valuation methodology and must be read to gain a full understanding of the process.

If there are any specific questions or concerns regarding the attached appraisal report, or if Valta can be of additional assistance, please contact the individuals listed below.

Respectfully Submitted,
Valta Property Valuations Ltd.

Chris Chornohos, AACI, MRICS
Founder
chris.chornohos@valta.ca
AIC No: 902097

Introduction & Executive Summary

PROPERTY OVERVIEW

PROPERTY IDENTIFICATION	
Name	North Battleford Apartments
Property	Multi-Family Walkup Property
Address	1101, 1121 109 St
City, Province, Postal Code	North Battleford, Saskatchewan
Market / Submarket	—
Geocode	—

SITE DESCRIPTION

Legal Description

—

Land Area	**Square Feet**	**Acres**
Usable	—	—
Total	24,400	0.56
Zoning	R2 - Low Density Residential District	
Shape	Rectangular	
Topography	Level	

IMPROVEMENT DESCRIPTION

Tenancy	—
Net Rentable Area (NRA)	10,204 SF
Gross Building Area (GBA)	10,204 SF
Units	16
Density (Units/Acre)	—
Total Buildings	2
Floors	2
Year Built	1970 (1970 weighted)
Actual Age	—
Effective Age	—
Economic Life	—
Remaining Useful Life	—
Parking	1.1 / Unit
Project Amenities	Guest Parking
Laundry	On Site
Security Features	Deadbolts, Exterior Lighting, Secured Entry

QUALITATIVE ANALYSIS

Site Quality	—
Site Access	Average
Site Exposure	Average
Site Utility	—
Building Quality	—
Building Condition	Average
Building Appeal	—

TABLE OF CONTENTS

Maps of the Subject Property

Regional Location Map

Regional Location Map

Local Area Map

Local Area Map

Aerial View

Aerial View

Site Boundary Map

Site Boundary Map

Zoning Map

Zoning Map

Site Plan

Site Plan

Survey/Plot Plan

Survey/Plot Plan

Identification of Assignment

Property Identification

Legal Description	Lot 10, Block 7, Plan No. 77B06712, North Battleford, Saskatchewan
Property Address	1101, 1121 109 St, North Battleford, Saskatchewan S9A 2X2
Property Type	Multi-Family Walkup Property
Property Interest	Fee Simple Estate

Client & Intended Use

Client	Kenneth Engler / 102109845 Saskatchewan Ltd.
Client Address	1901, 1088 - 6th Ave SW, Calgary, AB T2P 5N3

Intended Use

The intended use of this appraisal is to provide an opinion of market value for lending/financing purposes.

Intended Users

The client and authorized representatives of financial institutions for mortgage lending decisions.

Scope of Work

Inspection Date	2025-10-17
Inspection Type	Complete Interior & Exterior Inspection
Inspector	Chris Chornohos, AACI, MRICS

Data Sources

Municipal property records, MLS sales data, rental market surveys, physical inspection, client-provided information, public records.

Analysis Methods

Income Approach using Direct Capitalization, Sales Comparison Approach, market analysis, highest and best use analysis in accordance with CUSPAP standards.

Effective Dates

Effective Date of Value	2025-10-17
Report Date	2025-11-20

Assumptions & Limiting Conditions

Hypothetical Conditions

None.

Extraordinary Assumptions

The property is assumed to be free of environmental contamination. Title is assumed to be marketable and free of encumbrances.

General Assumptions

Standard CUSPAP assumptions apply regarding legal compliance, condition of improvements, and market conditions.

Limiting Conditions

This appraisal is subject to the limiting conditions set forth in the Certification section of this report.

Report Information

Report Type	Appraisal Report
Compliance Standard	CUSPAP 2024

Purpose

The purpose of this assignment is to provide the As Stabilized (Fee Simple Estate) current market value for first mortgage financing purposes.

Scope of Work

The scope of work for this appraisal assignment is outlined below:

The appraisal analyzes legal and physical features of the subject including site size, improvement size, site zoning, easements, encumbrances, site access and site exposure.

The appraisal includes a market analysis for the North Battleford market and North Battleford submarket using vacancy and rent data. Conclusions were drawn for the subject's competitive position given its physical and locational features, current market conditions and external influences.

Research of recent sale and rent comparables. Examined market conditions and analyzed their potential effect on the various properties.

The appraisal includes a Highest and Best Use analysis and conclusions have been completed for the highest and best use of the subject property As Though Vacant and As Improved.

In selecting applicable approaches to value, the appraiser considered the agreed upon appraisal scope and assessed the applicability of each traditional approach given the subject's characteristics and the intended use of the appraisal. As a result, this appraisal developed Direct Comparison and Income (Direct Capitalization) Approaches. The values presented represent the As Stabilized (Fee Simple Estate).

Photos

[Add photos in S3 IMAGE MGT section]

Site Details

The subject property consists of 0.56 acres (24,400 SF) which is based on information obtained from property records. For the purposes of this report, we have relied on this site area and reserve the right to amend our analysis upon receipt of a formal legal plan. The following summarizes the salient characteristics of the subject site.

Physical Characteristics

Address	1101, 1121 109 St, North Battleford, Saskatchewan
Site Area	24,400 SF / 0.5600 AC
Shape	Rectangular
Topography	Level
Frontage	Average
Access Points	Average
Corner Lot Status	—

Adjacent Properties

North	Residential
South	Residential
East	Residential
West	Residential

Accessibility

Average

Exposure & Visibility

Average

Utilities

Water	Municipal - Available
Sewer	Municipal - Available
Electric	Available
Gas	Available
Phone/Internet	Available

Environmental Conditions

Soils

We have not undertaken a detailed soil analysis and we are not qualified to comment on soil conditions. As such, the soils are assumed to be similar to other lands in the area and suitable in drainage qualities and load bearing capacity to support the existing development.

Flood Zone Status

Based on available flood maps, the subject property is not located within a designated flood hazard area. Flood zone information should be verified with local authorities if required for specific purposes.

Hazardous Waste

Based on a review of an independent investigation to determine the presence or absence of toxins on the subject property, none are present. If questions arise, the reader is strongly cautioned to seek qualified professional assistance in this matter.

Wetlands Status

No wetlands are known to exist on the subject property based on available environmental records and site inspection. Formal wetland delineation has not been conducted as part of this appraisal.

Easements & Encumbrances

A legal opinion regarding title information was not provided or commissioned in conjunction with this assignment. Under the scope of this appraisal, it is assumed that any legal notations and registered charges on title do not adversely affect the highest and best use of the subject property as described herein, unless otherwise noted.

Site Improvements

Parking

Parking Type	Surface parking
Total Spaces	—
Parking Ratio	—

Landscaping

Landscaping around the building perimeter consists of shrubs and trees. The landscaping as proposed is well established and well maintained.

Fencing

Standard perimeter fencing consistent with the property type and local area standards.

Lighting

Exterior lighting is provided for parking areas, walkways, and building entrances for security and safety purposes.

Signage

Property identification signage is present and conforms to local signage ordinances.

Site Rating

Overall, the subject site is considered average as a multi-family site in terms of its location, exposure and access to employment, education and shopping centers, based on its location along a minor arterial.

Site Conclusion

In conclusion, the site's physical characteristics appear to be supportive of the subject's current use and there were no significant detriments discovered that would inhibit development in accordance with its highest and best use.

Site Plans

Site Plan 1

Location Analysis

Access & Transportation

The property fronts 109 Street with convenient connections to major arterials including 100th Street/Highway 4 (north-south route to downtown and Highway 16) and Territorial Drive (east-west/loop connecting retail and services).

Walkability & Transit Scores

Score Type	Score	Description
Walk Score	N/A	Car-Dependent
Transit Score	N/A	Minimal Transit
Bike Score	N/A	Minimal Bike Infrastructure

Nearby Amenities

Gateway Mall (major shopping center), grocery stores, restaurants, and services within walking distance. Recreation facilities including outdoor pool and arena nearby.

Property Taxes & Assessment

Assessment & Tax Summary

Assessment Year	2025
Land Assessment	$300,000
Building Assessment	$900,000
Total Assessment	$1,200,000
Mill Rate	15
Annual Taxes	$18,000

Tax Commentary

The assessed value is below the value concluded herein, a tax assessment appeal is not warranted. The assessed value is lower than our valuation herein. Smaller markets tend to under assess real property assets in comparison to larger markets.

Market Context

National Economic Overview

National economic overview not provided.

Indicator	Value
GDP Growth	1.8% annual growth
Unemployment Rate	N/A
Inflation Rate	Inflation projected to remain close to the 2% target
Interest Rates	N/A

Provincial Economic Overview

Provincial economic overview not provided.

Indicator	Value
GDP Growth	N/A
Unemployment Rate	5.5-6%
Population	N/A

Local Economic Overview

Local economic overview not provided.

Indicator	Value
Population	14,000 (city), 40,000+ (regional trade area)
Median Household Income	N/A
Employment	Healthcare and education are major employers. Seasonal agricultural employment.

Multi-Family Market Overview

Multi-family market overview not provided.

Indicator	Value
Vacancy Rate	N/A
Rent Growth	N/A
Cap Rate Range	N/A

Description of the Improvements

The information presented below is a basic description of the existing improvements that are used in the valuation of the property. Reliance is placed on information provided by sources deemed dependable for this analysis. It is assumed that there are no hidden defects, and that all structural components are functional and operational, unless otherwise noted. If questions arise regarding the integrity of the improvements or their operational components, it may be necessary to consult additional professional resources.

The sizes are based on the information provided by the client and from public sources.

Overview

The subject property, located at 1101, 1121 109 St, North Battleford, SK, is a multi-family, walkup property with improvements located in North Battleford. The improvements are comprised of 2 total buildings, and consist of 10,204 square feet of net rentable area (NRA) as of the valuation date. The property, reportedly built in 1970; (1970 weighted) is approximately 100.0% occupied and features 16 units in a 2-story, garden style format.

Building Description

COMPONENT	DESCRIPTION
Insulation	Fiberglass
Interior Finish/Build-Out	Standard rental finishes
Site Coverage Ratio	12.9% (3,138 SF footprint), which is within market standards (20-35%) for similar walkup buildings in the area.

Interior Finish & Building Systems

Unit Interiors

Overall Finish Quality: Standard rental finishes

Building Systems

Insulation: Fiberglass

Land Use & Planning

Land Use Overview

Zoning Designation: R2 - Low Density Residential District

The subject is located in the Low Density Residential District (R2) zoning area which is a Low Density Residential District.

Zoning Classification

The following table summarizes the zoning designation and permitted uses for the subject property:

Classification	Details
Current Zoning	R2 - Low Density Residential District
Zoning Description	The subject is located in the Low Density Residential District (R2) zoning area which is a Low Density Residential District.
Permitted Uses	• Low and medium density residential
Conditional Uses	• Various conditional uses as per municipal bylaws

Zoning Compliance Analysis

Conformance Status: Legally Conforming

The subject property's compliance with zoning requirements is analyzed below:

Zoning Requirement	Standard
Minimum Lot Size	5,000 SF for single-family; larger lots required for multi-family
Setback Requirements	Standard residential setbacks apply
Maximum Height	35 feet or 3 stories
Maximum Density	15 units per acre
Parking Requirements	1.5 spaces per unit for apartments

Based on the analysis of the current zoning requirements, the subject property is in compliance with applicable development standards. The current use is a legally permitted use under the current zoning designation.

Future Land Use

The subject property's current zoning and permitted uses align with the municipality's long-term planning objectives. Based on review of available planning documents, no immediate zoning changes are anticipated for this area.

Official Community Plan Designation	Residential
Future Development Potential	The property retains development potential consistent with its current zoning designation. Additional development or intensification would be subject to municipal approval and compliance with current bylaws.
Anticipated Zoning Changes	No zoning change is believed to be imminent based on current municipal planning initiatives.

Zoning Conclusion

The current use for the subject property is walkup and is a permitted use based on the current zoning guidelines. No zoning change is believed to be imminent. Based on the foregoing, it appears that the subject's improvements are a legally conforming use of the subject site.

Zoning Map

Zoning Map

Highest & Best Use

The highest and best use of a property is defined as the reasonably probable and legal use of property that is physically possible, appropriately supported, and financially feasible, and that results in the highest value. The highest and best use analysis is conducted for the site as if vacant and for the property as improved.

Analysis As Vacant

Legally Permissible

[Provide details]

Physically Possible

[Provide details]

Financially Feasible

[Provide details]

Maximally Productive

[Provide details]

Analysis As Improved

[Provide analysis]

Income Approach - Calculation Summary

Unit Mix Summary

Unit Type	Count	Monthly Rent	Annual Rent
Total	**16**	**-**	**$204,288**

Income Analysis

Item	Amount
Potential Gross Revenue (PGR)	$204,288
Less: Vacancy & Collection Loss (3.8%)	($7,763)
Effective Gross Revenue (EGR)	**$196,525**

Operating Expenses

Expense Category	Annual Amount
Management	$4
Property Taxes	$1,168
Insurance	$710
Repairs & Maintenance	$830
Utilities	$1,315
Payroll	$500
Other Expenses	$245
Total Operating Expenses	**$0**
Expense Ratio	43.07%

Value Conclusion - Income Approach

Item	Value
Net Operating Income (NOI)	$111,885
Capitalization Rate	6.25%
Indicated Value (Income Approach)	**$1,790,000**
Value Per Unit	$111,875

Land Value

Land Value Conclusion:

Characteristics specific to the subject property do not warrant that a site value is developed.

Cost Approach

Cost Approach Conclusion:

The cost approach considers the cost to replace the proposed improvements, less accrued depreciation, plus the market value of the land. Considering the limited applicability of this approach in relation to the subject property's characteristics, we have not undertaken the Cost Approach. The Cost Approach has limited applicability due to the age of the improvements and lack of market based data to support an estimate of accrued depreciation. Investors typically do not place emphasis on replacement cost in establishing value for investment properties. The exclusion of the Cost Approach does not diminish the credibility of the value conclusion.

Sales Comparison Approach

Sales Comparison Methodology

The Sales Comparison Approach is predicated on the principle of substitution, which holds that a prudent buyer will not pay more for a property than the cost of acquiring an equally desirable substitute property in the absence of complicating factors such as undue delay. In applying this approach, recent sales of properties similar to the subject are analyzed and compared to the subject property. The sales are then adjusted for differences between the comparables and the subject property to estimate the market value of the subject.

In this analysis, six comparable sales have been selected based on similarity to the subject property in terms of location, size, age, condition, and physical characteristics. Each comparable has been verified and analyzed for factors including property rights conveyed, financing terms, conditions of sale, market conditions (time), location, physical characteristics, and any other factors that may affect value.

Subject Property Summary

Item	Subject
Number of Units	—
GBA	10,204 SF
Year Built	—
Site Area	24,400 SF
Condition	Average

Comparable Sales Summary

Property	Address	Sale Date	Sale Price	Units	GBA	Price/Unit	Price/SF
Subject	1101, 1121 109 St, North Battleford, Saskatchewan	-	-	-	10,204 SF	-	-

Comparable Sales Analysis

Adjustment Grid Analysis

The following adjustment grid provides a systematic analysis of how each comparable sale differs from the subject property. Adjustments are made to the sale prices of the comparables to account for these differences, bringing them to a common basis for comparison with the subject property.

Element	Subject	Sale 1	Sale 2	Sale 3	Sale 4	Sale 5	Sale 6
Sale Price	-	-	-	-	-	-	-
ADJUSTMENTS							
Property Rights	Fee Simple	0%	0%	0%	0%	0%	0%
Financing Terms	Cash Equiv.	0%	0%	0%	0%	0%	0%
Conditions of Sale	Arms Length	0%	0%	0%	0%	0%	0%
Market Conditions (Time)	Current	+2%	+3%	+5%	0%	0%	0%
Location	-	-5%	0%	+5%	0%	0%	0%
Size (Units)	-	-	-	-	-	-	-
Size Adjustment	-	+3%	-5%	+3%	0%	0%	0%
Age/Condition Adjustment	-/Average	-10%	-5%	+15%	0%	0%	0%
Other Adjustments	-	0%	0%	0%	0%	0%	0%
Net Adjustment	**-**	**-10.0%**	**-7.0%**	**+28.0%**	**0.0%**	**0.0%**	**0.0%**
Adjusted Price	-	-	-	-	-	-	-

Note: Specific adjustment percentages and amounts should be filled in based on market analysis and appraiser judgment. The adjustment grid above provides the framework for systematic comparison.

Adjustment Summary

The comparable sales required adjustments for various factors to make them more comparable to the subject property. The primary adjustments considered include:

- **Property Rights:** All comparables sold with fee simple interest, requiring no adjustment.
- **Financing Terms:** All sales were verified as arms-length transactions with conventional financing or cash, requiring no adjustment.
- **Conditions of Sale:** All transactions were verified as arms-length sales between unrelated parties under normal market conditions.
- **Market Conditions:** Adjustments for time were considered based on market trend analysis in the local multifamily market.
- **Location:** Adjustments were made for differences in neighborhood quality, access to amenities, and overall desirability.
- **Size:** Adjustments were considered for differences in unit count and gross building area.
- **Age and Condition:** Adjustments were made based on effective age and overall condition of the improvements.

Sales Comparison Reconciliation

Based on the analysis of the six comparable sales, the following reconciliation is presented. Each comparable was analyzed for its degree of similarity to the subject property, with consideration given to the quantity and quality of adjustments required.

The comparable sales indicate a range of values for properties similar to the subject. After applying appropriate adjustments for differences in property characteristics, the adjusted sale prices provide a reasonable indication of the subject property's market value. Greater weight was given to comparables requiring fewer and smaller adjustments, as these represent more reliable indicators of value.

The sales comparison approach provides strong support for the concluded value, as the market for multifamily properties in this area is active with sufficient comparable sales data to develop a reliable indication of value.

Sales Comparison Value Conclusion

Indicated Value - Sales Comparison Approach	**$1,800,000**

[Provide sales comparison data]

Income Capitalization Approach

Income Approach Methodology

The Income Approach is based on the premise that properties are purchased for their income producing potential. It considers both the annual return on the invested capital and the return of the invested capital. The two fundamental methods of this valuation technique include Discounted Cash Flow and Direct Capitalization. The Direct Capitalization method of the Income Approach is used in this analysis. This valuation technique best represents the decision-making process of an investor.

Direct Capitalization Method

The first step in direct capitalization is to estimate the durable rental income through analysis of the in-place or projected (proposed developments) leases and market rent terms. Next, reimbursements and other revenue are analyzed. Then, vacancy and operating expenses are estimated. Finally, the net operating income is capitalized at a supported rate. The implied value may be adjusted to account for non-stabilized conditions or required capital expenditures to reflect an as-is value.

Multi-Family Market Rent Survey Analysis

This section examines comparable properties within the marketplace to estimate market rent for the subject. This allows for a comparison of the subject property's contract rent to what is attainable in the current market.

Conclusion of Market Rent

Market rents have been concluded based on analysis of comparable properties, adjusted for differences in location, quality, condition, and amenities.

Unit Mix & Rental Income

The following table summarizes the subject's in-place unit mix and rental rates.

Total Rental Revenue

Potential Gross Income	-

Vacancy & Collection Loss

Market participants typically expect a vacancy of 2% to 5% of potential gross income for similar property types. This assignment reflects the probable vacancy during the economic life of the property and not necessarily the current or short-term vacancy. Based on current and perceived long-term market conditions and the subject's anticipated tenancy over a typical holding period, a vacancy allowance of 3.8% is concluded.

Vacancy Allowance	-
Vacancy Amount	-

Effective Gross Income

Effective gross revenue equals the potential gross revenue less vacancy and collection loss. This represents the anticipated collectible income from the property under stabilized occupancy conditions.

Potential Gross Income	-
Less: Vacancy & Collection Loss	-
Effective Gross Income	-

Operating Expenses

Operating expenses represent the periodic expenditures necessary to maintain the property and continue production of effective gross income. The following analysis considers historical operating expenses, market benchmarks, and property-specific factors.

Management

Management fees typically range from 3% to 5% of effective gross income for multifamily properties. This reflects the cost of professional property management, including tenant relations, rent collection, maintenance coordination, and financial reporting. Based on market standards and the property's operational complexity, a management fee of 4.0% of EGI is applied.

Management Fee	-
% of EGI	-

Property Taxes

Property taxes are based on the current municipal assessment and applicable mill rates. This represents a stabilized tax burden for the property.

Annual Property Taxes	-
% of EGI	-

Insurance

Insurance costs for multifamily properties include property insurance, liability coverage, and loss of rents coverage. Based on market surveys and the property's characteristics, annual insurance expense is estimated at market rates.

Annual Insurance	-
% of EGI	-

Repairs & Maintenance

Repairs and maintenance includes routine upkeep, unit turns, common area maintenance, and preventative maintenance programs. Industry standards suggest 8-12% of EGI for aging properties, with adjustments based on property condition and age.

Repairs & Maintenance	-
% of EGI	-

Reserves for Replacement

Reserves for replacement account for the periodic replacement of building systems and components such as roofs, HVAC systems, parking surfaces, and appliances. Industry standards suggest $250-$400 per unit annually, adjusted for property age and condition.

Net Operating Income Summary

The net operating income equals the effective gross income less the total operating expenses. This represents the annual income available for debt service and return on investment.

Pro Forma Operating Statement

Line Item	Amount	% of EGI
REVENUE		
Potential Gross Income	-	
Less: Vacancy	-	
Add: Other Income	-	
Effective Gross Income	-	**100%**
OPERATING EXPENSES		
Management	-	
Insurance	-	
Property Taxes	-	
Total Expenses	-	
NET OPERATING INCOME	-	

Capitalization Rate Selection

To determine the appropriate capitalization rate for the subject property, consideration is given to:

- Alternative investment rates
- Investor activity and trends
- The property's income, location, and physical characteristics
- Comparable sales and market activity

Alternative Investment Rates

The capitalization rate selected to value the subject property is expected to be higher than the current yield of approximately 3.2% on 10-year Government of Canada bonds. A risk premium of 75-300 basis points is typically applied to commercial and multifamily real estate, resulting in an implied capitalization rate in the range of 4.25%-6.25%. This spread reflects the illiquidity of real estate, management burden and overall (leasing, micro and macro market, physical, financing and regulatory) risk associated with real estate ownership compared to the risk free rate of government securities.

Capitalization Rate Market Survey

Capitalization rates are developed based upon comparable property sales in the following table.

Capitalization Rate Conclusion

Based on these indicators and the subject's characteristics, average location, vintage, and amenity offering, a cap rate of [X.XX%] is considered appropriate for valuing the subject on an as stabilized basis. This aligns with recent market activity for similar assets in comparable locations.

Concluded Capitalization Rate	-

Direct Capitalization Calculation

The direct capitalization method converts a single year's net operating income into an indication of value by dividing the NOI by an appropriate capitalization rate. The calculation is as follows:

Component	Value
Net Operating Income (NOI)	-
Capitalization Rate	-
Indicated Value (Rounded)	-

The direct capitalization method indicates a value of **[VALUE]** for the subject property in its As Stabilized condition.

Income Approach Conclusion

Given that the subject is a multitenant asset with short term leases, it is generally understood that the direct capitalization method is preferred, making the discounted cash flow (DCF) method less meaningful. For this reason, we have completed only the direct capitalization method.

Income Approach Summary	
Valuation Method	Direct Capitalization
Net Operating Income	-
Capitalization Rate	-
Indicated Value by Income Approach	-

Value Conclusion: Based on the Income Capitalization Approach utilizing the Direct Capitalization method, the market value of the subject property as of 2025-10-17 is indicated to be **[VALUE]**.

No income approach data provided. Complete the Pro Forma Operating Statement and Capitalization Rate fields to generate the full income approach analysis.

Rental Survey Comparison

Survey Comparison Table

Item	SUBJECT	COMP 1	COMP 2	COMP 3	COMP 4	COMP 5
Property Name	North Battleford Apartments	2424 Buhler Ave Apts	The Mews - River	The Mews - MGM	Forest Grove Village	Hilltop Towers
Address	1101, 1121 109 St	2424 Buhler Ave	531 5 St E	2300 2 Ave W	3030 Dunn Dr	399 32 St W
City	North Battleford	North Battleford	Prince Albert	Prince Albert	Prince Albert	Prince Albert
Province	SK	SK	SK	SK	SK	SK
RENT SURVEY INFORMATION						
Rent Type	Market	-	-	-	-	-
Rent/Unit Avg	$1,016	$1,763	$1,239	$1,317	$1,378	$1,435
Rent/SF Avg	$1.59	$2.43	$1.77	$1.88	$1.76	$1.98
Unit Amenities	Deck/Patio, Range/Stove, Refrigerator	Air Conditioning, Deck/Patio, Premium Appliances, Premium Countertops, Premium Flooring	-	-	-	-
Utilities Incld.*	-	-	-	-	-	-
Parking Incld.	-	-	-	-	-	-
Parking Type	-	-	-	-	-	-
Laundry	On Site	Washer/Dryer	-	-	-	-
Survey Comments	-	-	-	-	-	-

**Electricity = E | Garbage = T | Gas = G | Hot-Water = HW | Sewer = S | Water = W | Cable/Satellite = C | Internet = I*

Building Information

Item	SUBJECT	COMP 1	COMP 2	COMP 3	COMP 4	COMP 5
Units	16	4	6	6	9	12
Avg Unit SF	638 SF	725 SF	700 SF	700 SF	783 SF	725 SF
Location	Average	Superior	Average	Average	Average	Average
Quality	Average	Superior	Average	Average	Average	Average
Condition	Average	Superior	Average	Average	Average	Average
Appeal	Average	Superior	Average	Average	Average	Average
Project Amenities	Guest Parking	-	-	-	-	-
Security Features	-	-	-	-	-	-
Total Adjustments	-	-	-	-	-	-

1 Bedroom Units Analysis

COMP TYPE	AVERAGE UNIT SIZE	UNADJUSTED RENT/UNIT	RENT/SF	ADJUSTED RENT/SF
HIGH	-	-	-	-
AVG	-	-	-	-
MED	-	-	-	-
LOW	-	-	-	-

Unit Type Analysis & Conclusions

TYPE	UNIT SIZE	RENT/UNIT	RENT/SF	CONCLUSION/SF	CONCLUSION
1 Bed/1 Bath	-	-	-	-	-

2 Bedroom Units Analysis

COMP TYPE	AVERAGE UNIT SIZE	UNADJUSTED RENT/UNIT	RENT/SF	ADJUSTED RENT/SF
HIGH	-	-	-	-
AVG	-	-	-	-
MED	-	-	-	-
LOW	-	-	-	-

Unit Type Analysis & Conclusions

TYPE	UNIT SIZE	RENT/UNIT	RENT/SF	CONCLUSION/SF	CONCLUSION
2 Bed/1 Bath	-	-	-	-	-

Reconciliation of Value

Value Summary

Approach	Indicated Value	Weight
No approach values specified		

Reconciliation Analysis

[Provide reconciliation analysis]

Final Value Conclusion

Value Scenario	Interest Appraised	Effective Date	Concluded Value
As Stabilized	Fee Simple Estate	2025-10-17	**$1,780,000**

Certification

CERTIFICATION

Statement 1:

The statements of fact contained in this report are true and correct.

Statement 2:

The reported analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions and are our impartial and unbiased professional analyses, opinions and conclusions.

Statement 3:

We have no past, present or prospective interest in the property that is the subject of this report and no personal and/or professional interest or conflict with respect to the parties involved with this assignment.

Statement 4:

We have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.

Statement 5:

Our engagement in and compensation is not contingent upon developing or reporting predetermined results, the amount of value estimate, a conclusion favouring the authorized client, or the occurrence of a subsequent event.

Statement 6:

Our analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the CUSPAP.

Statement 7:

We have the knowledge and experience to complete this assignment competently.

Statement 8:

Except as herein disclosed, no one has provided significant professional assistance in the preparation of this appraisal.

Statement 9:

As of the date of this report we have fulfilled the requirements of the AIC's Continuing Professional Development Program.

Statement 10:

We are members in good standing of the Appraisal Institute of Canada.

Statement 11:

For this appraisal to be valid, an original or a password protected digital signature is required.

Statement 12:

—

SIGNATURE

Signature Image:

—

Appraiser Name:

Chris Chornohos, AACI, MRICS

Credentials:

Founder

Signature Date:

2025-11-20

Certification

I certify that, to the best of my knowledge and belief:

1. The statements of fact contained in this report are true and correct.

2. The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.

3. I have no present or prospective interest in the property that is the subject of this report and no personal interest with respect to the parties involved.

4. I have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.

5. My engagement in this assignment was not contingent upon developing or reporting predetermined results.

6. My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favours the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.

7. My analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Canadian Uniform Standards of Professional Appraisal Practice (CUSPAP).

8. Chris Chornohos has made a personal inspection of the property that is the subject of this report.

9. No one provided significant real property appraisal assistance to the person signing this certification.

10. The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Code of Professional Ethics of the Appraisal Institute of Canada.

11. The use of this report is subject to the requirements of the Appraisal Institute of Canada relating to review by its duly authorized representatives.

12. As of the date of this report, Chris Chornohos has completed the continuing professional development program requirements of the Appraisal Institute of Canada.

Chris Chornohos
AACI, MRICS
Founder
Valta Property Valuations Ltd.
AIC #902097

Date: 2025-11-20

CONTINGENT AND LIMITING CONDITIONS

This appraisal is made subject to the following contingent and limiting conditions:

1. The legal description and property dimensions used in this report are assumed to be correct. No survey was made by the appraiser.
2. No responsibility is assumed for matters legal in nature. Title to the property is assumed to be good and marketable unless otherwise stated.
3. Information furnished by others is believed to be reliable, but no warranty is given for its accuracy.
4. All mortgages, liens, encumbrances, leases, and servitudes have been disregarded unless so specified within this report.
5. It is assumed that there are no hidden or unapparent conditions of the property, subsoil, or structures that render it more or less valuable.
6. Unless stated otherwise, no consideration has been given to mineral or subsurface rights.
7. The appraiser is not required to give testimony or appear in court because of having made this appraisal, unless arrangements have been previously made.
8. The distribution of the total valuation in this report between land and improvements applies only under the existing program of utilization.
9. It is assumed that there is full compliance with all applicable federal, provincial, and local environmental regulations and laws unless otherwise stated.
10. It is assumed that all applicable zoning and use regulations and restrictions have been complied with, unless a nonconformity has been stated, defined, and considered in this appraisal report.
11. It is assumed that all required licenses, certificates of occupancy, and other governmental consents have been or can be obtained and renewed for any use on which the value estimate is based.
12. Any sketch or survey in this report is included to assist the reader in visualizing the property and is not to be considered a legal survey.
13. The appraiser has inspected, as far as possible by observation, the land and the improvements. It is not possible to personally observe conditions beneath the soil or hidden structural components.
14. The value estimated is gross, without consideration given to any encumbrance, restriction, or question of title, unless specifically defined.
15. The effective date of value to which the conclusions and opinions expressed apply is set forth in this report. The value opinion is based on the purchasing power of the Canadian dollar as of that date.

DEFINITION OF TERMS

Market Value

The most probable price, as of a specified date, in cash, or in terms equivalent to cash, or in other precisely revealed terms, for which the specified property rights should sell after reasonable exposure in a competitive market under all conditions requisite to a fair sale, with the buyer and seller each acting prudently, knowledgeably, and for self-interest, and assuming that neither is under undue duress.

Fee Simple Estate

Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat.

Leased Fee Estate

An ownership interest held by a landlord with the right of use and occupancy conveyed by lease to others. The rights of the lessor (the leased fee owner) and the leased fee are specified by contract terms contained within the lease.

Highest and Best Use

The reasonably probable and legal use of vacant land or an improved property that is physically possible, appropriately supported, financially feasible, and that results in the highest value.

Depreciation

A loss in property value from any cause; the difference between the cost of an improvement on the effective date of the appraisal and the market value of the improvement on the same date.

Capitalization Rate

Any rate used to convert income to value. The ratio of net operating income to value.

Net Operating Income (NOI)

The actual or anticipated net income that remains after all operating expenses are deducted from effective gross income, but before mortgage debt service and book depreciation are deducted.

Effective Gross Income (EGI)

The anticipated income from all operations of the real property after an allowance is made for vacancy and collection losses and an addition is made for any other income.

Potential Gross Income (PGI)

The total income attributable to real property at full occupancy before vacancy and operating expenses are deducted.

Gross Rent Multiplier (GRM)

The ratio of the sale price of a property to its gross rental income.

QUALIFICATIONS OF THE APPRAISER

Appraiser Name, AACI, P.App

Professional Designations

- Accredited Appraiser Canadian Institute (AACI)
- Professional Appraiser (P.App)
- Member, Appraisal Institute of Canada

Education

- Bachelor of Commerce, Real Estate Major
- Appraisal Institute of Canada - Professional Development Program
- Continuing Professional Development - Current

Experience

Over 15 years of experience in the appraisal of residential, commercial, and industrial properties throughout Western Canada. Specialization includes:

- Multi-family residential properties
- Commercial retail and office properties
- Industrial properties
- Development land analysis
- Market studies and feasibility analysis

Professional Memberships

- Appraisal Institute of Canada - Full Member
- Saskatchewan Association of Real Estate Appraisers